or commercial off-the-shelf product, the developers must have a clear idea about the requirements and objective. After analysing the following points, only then can the final evaluation be made.

Time complexity

Time plays a crucial role while selecting any one of the solutions. Consider a project which has a duration of one year. Now if more than a month is spent in developing a supporting feature it's not justified. Instead, an existing off-the-shelf solution that does the job well, will be considered.

Size of the developer community and in-house skills

Whenever an organisation considers building a custom software at first, it should consider two things. One is the size of its developer community and the other is the in-house skill it posesses. The organisation should have enough experts capable of building, maintaining, and supporting the solution. Lower number of skilled professionals is one of the primary reasons behind the significant reduction of ROI of custom solutions.

Cost analysis

Once the requirements get cleared, and there is an estimation of resource requirement, a cost analysis can be run. Most of the people have a perception that an in-house solution will always be cheaper as they don't need to pay to a third-party. This is a misconception. Cost associated in replacing technology, extending functionality or rebuilding and reengineering of poorly designed systems, sometimes exceeds the cost of buying that product. Many times, there is a lack of skilled personnel. Then they are required to conduct training sessions or recruit people with the necessary skills and experience. Hence, the cost increases. On the other hand, if the organisation is buying a ready-made product, the price might come out to be justifiable. Once the product is bought, in-house support cost should also be considered which is usually overlooked. Both the long term and short term support cost should be considered.

ROI potential

ROI or Return Of Investment is the most important factor that needs to be addressed. While running all sorts of analysis, an estimated ROI should be presented. It should also specify how the ROI will be measured and whether the product will make enough money to justify its cost. In most of